

- Jog, walk or drive a certain area once a month for ten minutes. I have found some of my best real estate investments while jogging. I will jog a certain neighborhood for a year. What I look for is change. For there to be profit in a deal, there must be two elements: a bargain and change. There are lots of bargains, but it's change that turns a bargain into a profitable opportunity. So when I jog, I jog a neighborhood I might like to invest in. It is the repetition that causes me to notice slight differences. I notice real estate signs that are up for a long time. That means the seller might be more agreeable to deal. I watch for moving trucks, going in or out. I stop and talk to the drivers. I talk to the postal carriers. It's amazing how much information they acquire about an area.

I find a bad area, especially an area that the news has scared everyone away from. I drive it for sometimes a year waiting for signs of something changing for the better. I talk to retailers, especially new ones, and find out why they're moving in. It takes only a few minutes a month, and I do it while doing something else, like exercising, or going to and from the store.

As for stocks, I like Peter Lynch's book *Beating the Street* for his formula for selecting stocks that grow in value. I have found that the principles of finding value are the same regardless if it's real estate, stocks, mutual funds, new companies, a new pet, a new home, a new spouse, or a bargain on laundry detergent. The process is always the same. You need to know what you're looking for and then go look for it!

Why consumers will always be poor. When the supermarket has a sale on, say, toilet paper, the consumer runs in and stocks up. When the stock market has a sale, most often called a crash or correction, the consumer runs away from it. When the supermarket raises its prices, the consumer shops elsewhere. When the stock market raises its prices, the consumer starts buying.

Look in the right places. A neighbor bought a condominium for \$100,000. I bought the identical condo next door to his for \$50,000. He told me he's waiting for the price to go up. I told him that his profit is made when you buy, not when you sell. He shopped with a real estate broker who owns no property of her own. I shopped at the foreclosure department of a bank. I paid \$500 for a class on how to do this. My neighbor thought that the \$500 for a real estate investment class was too expensive. He said he could not afford it, and he couldn't afford the time. So he waits for the price to go up.

I look for people who want to buy first, then I look for someone who wants to sell. A friend was looking for a certain piece of land. He had the money and did not have the time. I found a large piece of land larger than what my friend wanted to buy, tied it up with an option, called my